

Constructing this network requires time and involves multiple trips to a country. It is often easiest to build a network when an entire country is distressed. During such times, not only companies but even government officials are keen to meet new potential investors to attract capital into their country. In July 2001, when we went on a scouting trip to India, it was possible to meet with almost any CEO, and they would take the time to patiently explain their businesses to us. Conversely, in July 2006, when the Indian market was booming, it was hard to even get a meeting with a company's investor relations manager. On our research trips to Vietnam in 2011, even though we had full schedules, our broker would receive unsolicited calls from businesses looking for capital while we were traveling from one meeting to the next.

We are uncomfortable considering investments in a foreign market without building such a network, which takes significant time and effort. Helpfully, we have found that after the network has been built, it can be useful again and again, so long as we work to maintain and update it. In this way, we are able to get up to speed more quickly on subsequent opportunities. For this reason, we find ourselves coming back again and again to the same markets.

This network also helps us understand the local culture. When we assess culture, we are referring to the nuances of communication and language in a country, as well as adherence to the rule of law. When a management in the United States provides financial targets to investors and analysts, for example, these come with a degree of commitment to meeting those targets. This is not the case in every country; in some places, financial targets are aspirations rather than commitments. Culture also encompasses the shared values and motivations of the key political and business leaders of a country. What are these leaders seeking to accomplish, and are we as minority investors aligned with their goals?